

RBI Digital Lending Guidelines (2022) - Sample Circular

Sample document for Compliance Intelligence Engine testing

1. Introduction

Reserve Bank of India (RBI) Digital Lending Guidelines (September 2022). Regulated entities (REs) and Lending Service Providers (LSPs) must ensure transparent, fair, and borrower-centric digital lending practices.

2. Key Fact Statement (KFS) - Section 3.2

REs shall provide a Key Fact Statement (KFS) to the borrower in a standardized format before execution of the loan contract. The KFS must include loan amount, tenure, rate of interest, fees, charges, and all-inclusive Annual Percentage Rate (APR). Borrower acknowledgment of KFS must be obtained prior to disbursement.

3. Transparent Pricing - Section 3.4

The all-inclusive Annual Percentage Rate (APR) must be disclosed prominently. Total cost of borrowing including processing fees, insurance, and other charges must be stated clearly to enable informed borrower decision-making.

4. Cooling-Off / Look-Up Period - Section 4.1

Borrowers must be given a cooling-off period (minimum 3 days) or look-up period during which they may exit the digital loan without penalty by paying principal and proportionate APR without any foreclosure charges.

5. Disbursement - Section 4.3

Loan amount shall be disbursed directly to the borrower's bank account only. No disbursement to third-party accounts except as permitted under applicable law.

6. Auto-Debit / Repayment - Section 4.5

Setting up auto-debit or e-mandate/NACH for repayment requires explicit consent from the borrower. Borrower must have option to revoke repayment consent.

7. Data Privacy - Section 5.3

Borrower data collection must follow data minimization and purpose limitation. Need-to-know access only. Data retention and data deletion policies must be defined. Data shall not be stored beyond the stated purpose.

8. LSP Oversight - Section 2.2

RE remains responsible for actions of Lending Service Providers (LSP). LSP oversight, third party oversight, and outsourcing arrangements require periodic monitoring and audit of service provider conduct.

9. Grievance Redressal - Section 6

REs must establish a grievance redressal mechanism with defined complaint mechanism, escalation matrix, resolution timelines, and access to RBI Ombudsman scheme.

10. Video KYC - KYC Directions

Digital onboarding via Video KYC (V-CIP) must comply with RBI KYC Directions 2016 as amended. Video-based identification process with audit trail is mandatory for remote customer onboarding.

11. Fair Practices Code

Regulated entities must adopt and publish Fair Practices Code (FPC) ensuring ethical conduct, transparency,

and protection of borrower rights.